

Exciting Investment Opportunity

Start-up : **TransBnk**

TransBnk is the Transaction Banking Services enabling platform. It is re-engineering Global Transaction Banking and catalyzing businesses to be agile, secure & robust. It is working towards becoming a trusted and reliable digital connection for Transaction Banking Services between banks, NBFCs, and corporations.

Sector: : Fintech Pre-Money Valuation: **Rs. 40 Cr**

Legal Entity : TransBnk Solutions Pvt. Ltd. Proposed Fund Raise: **Rs. 4 Cr**

CIN : U72900DL2022PTC393655 Minimum Ticket Size: **Rs. 1,00,000**

Regd. Office : New Delhi

Industry and Opportunity

As technology and finance become more intertwined, there is a noticeable increase in the number of start-ups trying to meet the fast evolving needs of the industry. With all these innovative and disruptive technologies, user's resistance to change is also diminishing and creating more possibilities to innovate further and grow exponentially.

At the moment, escrows are supporting the security and safety of a lending of over Rs. 21 Tn. The float and fee income from the escrows show how much money is expected to come in. There is a lot of focus also on the digital economy from every governing body to speed-up and simplify transactions and make it easier to do business globally. TransBnk has all the plans and technology in place to leverage this opportunity for growth.

Product Offerings

Currently B2B Lending Ecosystem primarily rely on manual activities, processes and traditional methodology from sanction to disbursement. TransBnk is digitizing and taking a platform approach to ensure efficient and effective transaction Banking products.

Launched and Live

Digital Escrow and Payments - Due to the escrow opening process becoming digitised, many B2B transactions are now not completed on time. In collaboration with top banks, they are digitising this procedure.

Product – Under Implementation

Supply Chain Finance Txn Platform - Currently, SCF solutions only handle invoice discounting and do not provide a recon engine for money realisation in the bank against discounting. TransBank's product will bridge this gap.

Product – Under Development

Marketplace Escrow - Many business transactions, such as LC, BG, and other NFB instruments, are currently not carried out due to a lack of banking assistance. TransBnk platform will serve as a facilitator for all such transactions and companies.

Positive Indicators

- ♦ Innovation in Payment space had reduced cash cycle for B2C transactions, but Transaction Banking & B2B Payment Automations had limited success. TransBnk is aiming solving the same with Domain expertise of 60+ years of collective experience in Transaction Banking.
- ♦ Strong business relationships in banks, with advanced negotiations with IDFC, Federal, Yes Bank, and SBM now happening, as well as early discussions with Kotak, HDFC, ICICI, Axis, and SBM.
- ♦ Payment technologies have sped up B2C transactions, while Transaction Banking and B2B Payments have lagged. TransBnk intends to fix the issue utilising its team's 60 years of Transaction Banking knowledge.
- ♦ The objective is to provide lenders a one-stop shop for setting escrows/Master escrows, then reconciling them for project and supply chain finance.

Competition

- ♦ There are no direct competitors to TransBnk, although there are players that use a pooling/virtual account structure, such as Castler and Escrow Pay.
- ♦ Indirect competitors include technology providers such as Hexaware, TCS and Wipro, although these companies do not provide SAAS services and are thus highly costly.

TransBnk distinguishes itself by combining in-depth core expertise of transaction banking and platform business with complementary talents of the founders and advisers. Strong connections in banks and NBFCs, as well as expertise establishing platforms for corporate clients.

Risk

- ♦ TransBnk's ability to scale up can be hampered by the time needed onboarding the different banks and other stakeholders. The team with excellent working relations with the banks can manage it in time.
- ♦ Quality Tech Resources are scarce. TransBnk is attempting to control the market's constrained tech resources with personal connects supported by exciting ESOPs.
- ♦ Competition from current B2C-funded fintech companies and IT behemoths like TC and Intellect. As the addressable market size is very large; focus on customer's pain points and service will help TransBnk in getting reasonable good market share.

Founder and Core Team



Vaibhav Tambe, Co-Founder and CEO

Strategy, products, and business are handled by Vaibhav. He has more than 14 years of experience working for several institutions, and he has won many honours and distinctions.



Pulak Jain, Co-Founder and CBO

Sales and strategy are handled by Pulak. He has been a transaction banker and fintech consultant for more than 15 years.



Sachin Gupta, Co-Founder and CPO

IIM Calcutta graduate with more than 14 years of experience working as a solution architect in the field of transaction banking. At TransBnk, Sachin oversees Product and Delivery.



Lavin Kotian, Co-Founder and CTO

Lavin is in charge of architecture and technology. He has more than 20 years of expertise in a range of sectors. In several sectors, he has shown ability in Delivery and Technology Architecture.



Akshat Gupta, Legal Counsel

Akshat handles legal and compliance at TransBnk. He has over 12 years of work experience in legal. He is also a supreme court lawyer.

Fund Raise and Valuation

Proposed fund raise is Rs. 4 Cr at pre-money valuation of Rs. 40 Cr.
(Valuation is linked to next larger fund raise in 24 months, subject to valuation cap of Rs. 40 Cr)

Majority of the fund shall be used for Product Development, Salaries and Marketing.

Revenue Model

- ♦ TransBnk generates income through B2B Anchor-led acquisition (through Banks, NBFCs).
- ♦ Revenue is also generated through distribution partners such as Signzy and Omniscient.
- ♦ Major banks and non-bank financial institutions have been battling with B2B payments, where the customised platform construction may be a large revenue model with LTV as high as Rs. 5 Crs with cross-sell possibilities.

Traction/Business till date

- ♦ TransBnk's customer acquisition cost is almost nil with an LTV ranging from Rs. 1 Lac to Rs. 5 Crs.
- ♦ TransBnk has 15 B2B corporate clients with an impressive retention rate of ~100%.
- ♦ Revenue from top 5%-10% client is Rs. 2.5 Lacs whereas the total CAPEX till date is Rs. 6 Lacs.

Future Projections

With current fund raise; in next 18 months, TransBnk plan to achieve:

- ◆ Approximately Rs. 15 Cr revenue from Digital Escrow, and Rs. 3 Cr revenue from SCF ecosystem
- ◆ Marketplace escrow will add another Rs. 30 Cr in revenue.

Exit Possibilities

- ◆ Current fund raise will be for approximately 12 month's runway. With revenue realization as planned, investors can get good exit opportunities during next funding round in 12 to 18 months..
- ◆ TransBnk, also has intentions to go public by launching an IPO in the next 3-5 years.

Conclusion

The growth of B2B Fintech businesses offering solutions to varied company demands, creates opportunities for FinTech companies. TransBnk's digital and scalable corporate solution, paired with an addressable market size of Rs. 11.4 billion, suggests that it has a lot of room to develop in the future years. TransBnk will also benefit from a first mover advantage, which will aid in the brand's development and client's trust.

Social Media Presence

- ◆ Facebook: <https://www.facebook.com/TransBnk>
- ◆ Instagram: <https://www.instagram.com/transbnk/>
- ◆ LinkedIn: <https://www.linkedin.com/company/transbnk/>

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